revenue slippages would affect the central government budget through higher transfers to the states.

- State fiscal deficits have broadly been within the 3 percent limit recommended by the 14th Finance Commission. However, risks remain and stem from announcements of farm loan waivers in several states, the implementation of the 17th Pay Commission (underway), and the taking on of losses from electricity generation corporations as stipulated in the UDAY scheme. Assessing these risks is complicated by the more-than-one-year lag in the availability of data on states' fiscal positions.
- The government recently announced a plan to recapitalize public sector banks over two years. The recapitalization will add at least 0.8 percent of GDP to the public debt. This is included in the baseline. The size of the recapitalization is in line with recommendations from the last FSSA. Further recapitalization needs are not anticipated, but the contingent liability shock is included to account for a financing need equivalent to 1 percent of GDP.

4. India's debt profile is conducive to debt stability. Nearly 95 percent of debt has a long and medium-term maturity, and debt is largely held by residents. Foreign currency-denominated debt is negligible. The composition of debt is set to remain the same over the projection period with the bulk of financing needs met by the issuance of medium and long-term debt denominated in domestic currency and held by residents. The interest bill is substantial with gross financing needs equivalent to nearly 12 percent of GDP. As fiscal consolidation resumes, these needs will decline by around 3 percent of GDP over the medium term. The statutory liquidity requirement creates a captive domestic market for debt which limits the interest cost of debt.

5. Projections over the medium term are reasonable according to the assessment in the template. Assumptions on fiscal consolidation are within the median for surveillance countries and are expected to be met. Past forecast errors in projecting real GDP growth and the primary balance are reasonable with a percentile rank around 50 percent for each. The team's forecast of inflation has been better than the median for other surveillance countries.

6. The primary risk to India's debt sustainability is low growth, though the risks remain contained. The stress test corresponding to a growth shock yields a deteriorating debt path with debt-to-GDP reaching a peak of 71 percent of GDP and gross financing needs reaching a peak of 12 percent of GDP. The combined macro-fiscal shock yields slightly worse outcomes though the debt path would return to a downward trajectory.

7. Elevated vulnerabilities in the heat map stem from a high baseline debt-to-GDP ratio. Since debt-to-GDP is slightly above 70 percent, the baseline threshold is breached and the heat map for the debt level is red. Gross financing needs are below the 15 percent of GDP threshold and do not deteriorate in shock scenarios. Risks stemming from market perception (measured by EMBI global spreads) and external financing requirements (defined as the current account balance and amortization of short term external debt) are limited.

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Figure 1. India Public Debt Sustainability Analysis (DSA) – Baseline Scenario

(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

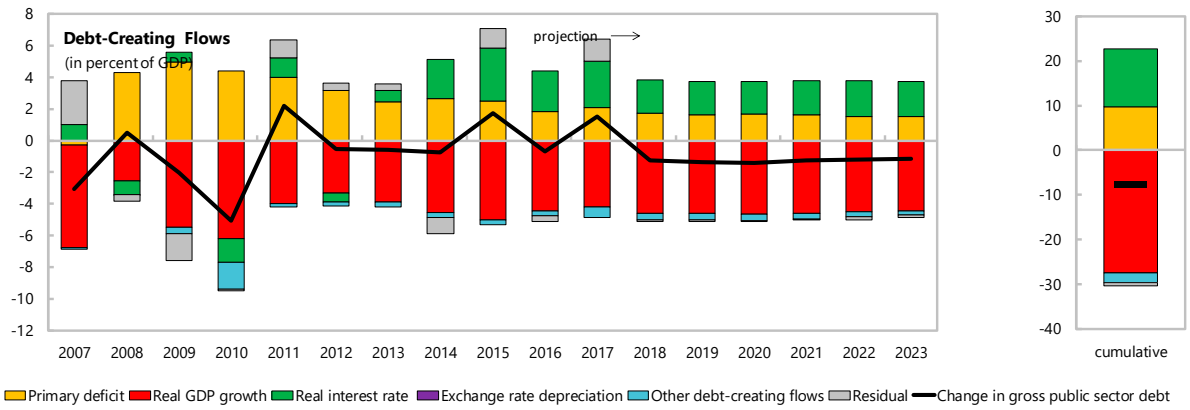
	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt	70.4	68.9	70.4	69.2	67.8	66.4	65.1	63.9	62.8
Public gross financing needs	12.4	11.1	11.7	11.1	10.8	10.4	10.2	10.0	8.7
Real GDP growth (in percent)	7.4	7.1	6.7	7.3	7.5	7.7	7.7	7.7	7.7
Inflation (GDP deflator, in percent)	6.0	3.5	3.1	4.2	4.3	4.2	3.8	3.7	3.7
Nominal GDP growth (in percent)	13.8	10.8	10.0	11.8	12.2	12.3	11.9	11.9	11.9
Effective interest rate (in percent) [4/]	7.6	7.8	8.0	7.9	8.1	7.9	7.8	7.8	7.8

As of March 13, 2018

Sovereign Spreads		
EMBIG (bp) 3/		478
5Y CDS (bp)		86
Ratings	Foreign	Local
Moody's	Baa2	Baa2
S&Ps	BBB-	BBB-
Fitch	BBB-	BBB-

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-0.8	-0.7	1.5	-1.2	-1.4	-1.4	-1.2	-1.2	-1.2	-7.6	
Identified debt-creating flows	-1.2	-0.3	0.1	-1.2	-1.3	-1.3	-1.2	-1.0	-1.0	-6.9	-2.5
Primary deficit	3.1	1.9	2.1	1.8	1.7	1.7	1.6	1.5	1.5	9.8	
Primary (noninterest) revenue and grants	19.4	20.8	20.8	21.2	21.2	21.2	21.3	21.3	21.3	127.5	
Primary (noninterest) expenditure	22.6	22.6	22.9	22.9	22.9	22.9	22.9	22.8	22.9	137.2	
Automatic debt dynamics [5/]	-3.9	-1.9	-1.2	-2.5	-2.5	-2.6	-2.4	-2.3	-2.2	-14.6	
Interest rate/growth differential [6/]	-3.9	-1.9	-1.2	-2.5	-2.5	-2.6	-2.4	-2.3	-2.2	-14.6	
Of which: real interest rate	0.7	2.6	2.9	2.1	2.1	2.1	2.2	2.2	2.2	12.9	
Of which: real GDP growth	-4.6	-4.5	-4.2	-4.6	-4.6	-4.7	-4.6	-4.5	-4.4	-27.4	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	-0.4	-0.3	-0.7	-0.4	-0.4	-0.4	-0.3	-0.3	-0.3	-2.1	
Consolidated General Govt - Domestic Financ	-0.4	-0.3	-0.7	-0.4	-0.4	-0.4	-0.3	-0.3	-0.3	-2.1	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroarea loa	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	0.3	-0.3	1.4	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.8	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ Long-term bond spread over U.S. bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

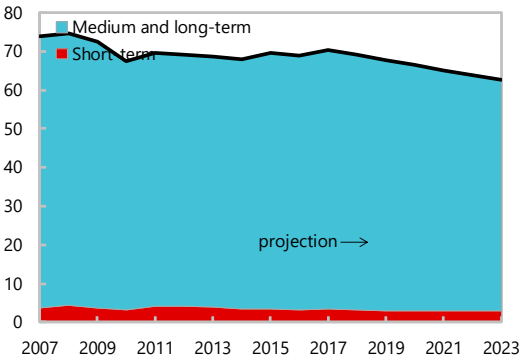
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Figure 2. India Public Sector Debt Sustainability Analysis (DSA) – Baseline Scenario

Composition of Public Debt

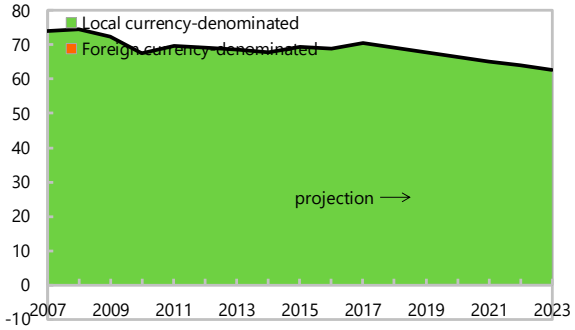
By Maturity

(in percent of GDP)

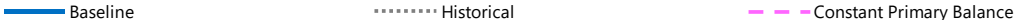


By Currency

(in percent of GDP)

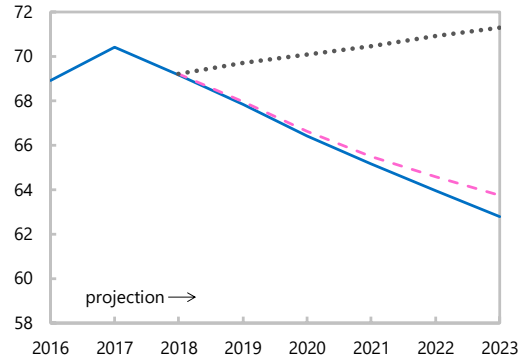


Alternative Scenarios



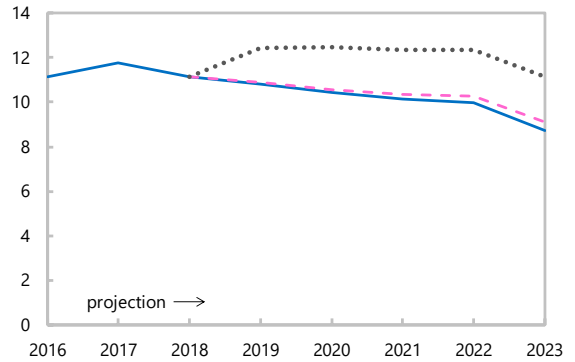
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	7.3	7.5	7.7	7.7	7.7	7.7
Inflation	4.2	4.3	4.2	3.8	3.7	3.7
Primary Balance	-1.8	-1.7	-1.7	-1.6	-1.5	-1.5
Effective interest rate	7.9	8.1	7.9	7.8	7.8	7.8
Constant Primary Balance Scenario						
Real GDP growth	7.3	7.5	7.7	7.7	7.7	7.7
Inflation	4.2	4.3	4.2	3.8	3.7	3.7
Primary Balance	-1.8	-1.8	-1.8	-1.8	-1.8	-1.8
Effective interest rate	7.9	8.1	7.9	7.8	7.8	7.8

Historical Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	7.3	7.0	7.0	7.0	7.0	7.0
Inflation	4.2	4.3	4.2	3.8	3.7	3.7
Primary Balance	-1.8	-3.2	-3.2	-3.2	-3.2	-3.2
Effective interest rate	7.9	8.1	7.6	7.3	7.2	7.0

Source: IMF staff.

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